



IN CONVERSATION WITH SUMIT GUPTA AND NEERAJ KHANDELWAL, CO-FOUNDERS, COINDCX

Starting from a rental flat in 2018 and investing their savings, Sumit and Neeraj have built a crypto exchange that is being trusted by 1.4 crore Indian investors. Sumit and Neeraj believe 2024 will be a watershed year for crypto, institutional endorsement will be a key driver propelling the industry forward - this long-awaited assurance is anticipated to push the next level of adoption in India.

Q With the compliance landscape in conversation, how has CoinDCX managed to keep up, given that the space you're in is still relatively new?

Neeraj: It is about time every entrepreneur and builder accepts that the industry demands rigorous compliance measures. Instead of shying away from it, even if it is complex, the only way you can *best serve your customers is by taking the harder road of compliance*. Therefore, from our early days of CoinDCX, *we put together a very strong compliance team and* established a robust KYC system. *Building a compliant product was tough, but our team anticipated and adapted.* For instance, when the government mandated FIU registration in 2023, we were the first VDA exchange to comply. Similarly, when TDS and taxation were declared for

Virtual Digital Assets in 2022, we paid the highest amount of TDS in industry, around 67 percent, and were the first to simplify crypto tax reporting for our customers.

The VDA industry is still evolving, and as a responsible exchange, our vision is to build a future where it thrives responsibly and sustainably.

Q Despite challenges like market conditions for crypto for the last two years, regulatory space in India, what has motivated you to stay strong? What drove your determination to continue 'building in India'?

Neeraj: Sumit and I often reflect on the journey of building CoinDCX, from a startup to achieving unicorn status. The path has never been easy. When we were about to launch in 2018, the RBI ordered banks

to stop trading with crypto companies. This led to investors backing out, leaving us with limited resources to sustain our business for only three months. What kept us going is our belief in the future of Web3, and we decided to continue on our journey of making crypto accessible to the masses. The last two years have been equally challenging, but we continued to build products in the Web3 space. Our self-custodial wallet, Okto, that we built during this phase, helps non-native Web3 users access the Web3 and DeFi ecosystem through their mobile phones. While Web3 is still at a nascent stage, we believe it has tremendous opportunities for growth — not just in terms of volume and investments, but also overall innovation and its impact on industries and societies. Our conviction is that great tech products can be built from India for global users, and the outpouring of